1. Rate of interest
2. Level of uncertainty
3. Political environment
4. Rate of growth of population
5. Stock of capital goods
6. Necessity of new products
7. Level of income of investors
8. Inventions and innovations
9. Consumer demand
10. Policy of the state
11. Availability of capital
12. Liquid assets of the investors

However, **Keynes** contended that business expectations and profits are more important in deciding investment. He also pointed out that investment depends on MEC (Marginal Efficiency of Capital) and rate of interest.

i. Private investment is an increase in the capital stock such as buying a factory or machine.

ii. The marginal efficiency of capital (MEC) states the rate of return on an investment project. Specifically, it refers to the annual percentage yield (output) earned by the last additional unit of capital.

iii. If the marginal efficiency of capital is 5% and interest rates is 4%, then it is worth borrowing at 4% to get an expected increase in output of 5%.

4.3.4. Relationship between rate of interest and Investment:

YSK7DA

An explanation of how the rate of interest influences the level of investment in the economy. Typically, higher interest rates reduce investment, because higher rates increase the cost of borrowing and require investment to have a higher rate of return to be profitable.

Interest rates and investment

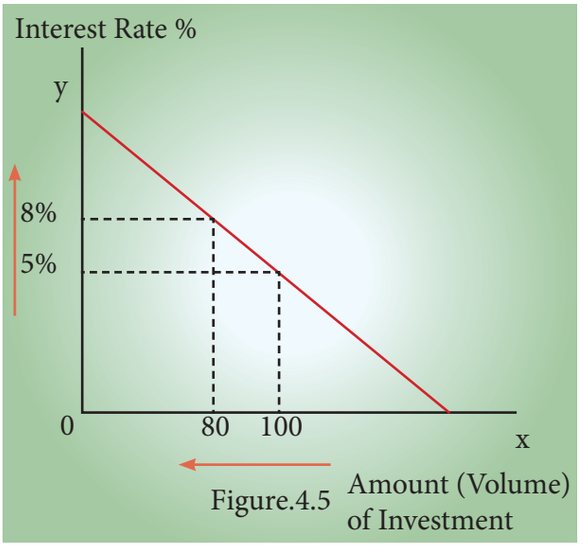


Figure.4.5

As the real cost of borrowing rises, fewer investment projects are profitable.

If interest rates rise from 5% to 8 %, then we get a fall in the amount of investment from ₹ 100 cr to ₹ 80 cr.

If interest rates are increased then it will tend to discourage investment because investment has a higher opportunity cost.

1. With higher rates, it is more expensive to borrow money from a bank.
2. Saving money in a bank gives a higher rate of return. Therefore, using savings to finance investment has an opportunity cost of lower interest payments.

12-Economics-Chapter_4.indd 62 2/6/2020 12:22:33 PM